

Conference Call Notes: Likely US diesel export curb still a live debate

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Likely US diesel export curb still a live debate

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Short-term trajectory:

Long-term trajectory:

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Eurasia Group assigns 65% odds to a partial US diesel export restriction by 15 October, driven by pressure from agricultural states as diesel prices spike.

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An active debate over the measure is ongoing within the administration, and a sharply negative market reaction, a voluntary refiner export reduction, or a European release of strategic reserves could all lower the odds of action.

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Global diesel markets face compounding risks: Potential Chinese refined product export cuts, rising tanker rates, and El Niño-driven agriculture supply stress could all amplify the impact beyond what US action alone would imply.

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Speakers:

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Clayton Allen — Practice Head, United States

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Neil Weller — Director, Fixed Income Strategist

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Gregory Brew — Senior Analyst, Iran and Energy

The Core Call: 65% Odds, Partial Restriction by October 15th

Eurasia Group assigns 65% probability to a partial US diesel export restriction imposed by October 15th (see: US likely to restrict diesel exports , 23 September 2026). This is not a high-conviction call — it reflects a political environment in flux, with active lobbying on both sides. The administration is responding to diesel price pressure concentrated in ag states, which form a core part of Trump's political base heading into harvest season and with midterms in view.

The expected mechanism is BIS export licensing — not a blanket ban. Current US diesel exports run approximately 1.6 million barrels per day (bpd); pre-war levels were roughly 1.1 million bpd, which could serve as a target for any action to reduce exports. BIS licensing is significant because it does not require presidential action — the Undersecretary of Commerce can act unilaterally — and it is scalable: the administration can approve or deny licenses in real time, creating a policy dial rather than an on/off switch. Duration is expected at 30–90 days.

Off-Ramps: What Could Prevent Action

Three off-ramps are in play, none highly probable on their own:

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Voluntary refiner curbs: Energy Secretary Chris Wright — who has opposed export bans since the idea was first raised in early March — is pushing refiners to voluntarily reduce exports. The coordination problem is significant: getting the entire refining industry to agree on who absorbs the cuts in a compressed timeframe is seen as unlikely.

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European strategic reserve release: If Europe releases refined product stockpiles, it could reduce pressure on Washington to act. This is seen as a cleaner outcome — adding supply without disrupting US refinery economics.

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Bond market and Bessent pressure: Treasury Secretary Scott Bessent has been opposed to an export restriction. If diesel price anxiety bleeds into bond markets — particularly if the 10-year yield approaches the ~4.7% level that has historically triggered administration recalibration — Bessent gains more political leverage. However, his toolkit for materially moving yields is limited; measures requiring political cooperation (e.g., spending cuts) remain unfeasible.

The political path toward action is currently stronger than the path away from it. Louisiana Governor Jeff Landry's backing matters given his standing in Trump's orbit. Senators Thune, Grassley, and Ashley Henson are identified as key GOP avatars for the ag community supporting some form of restriction.

Market Pricing and Economic Impact

Wholesale diesel prices in Northwest Europe have diverged from Gulf Coast prices by approximately 7% — roughly twice the spread seen over the summer. Markets are registering the risk, though the dynamic nature of the licensing mechanism makes probabilistic pricing difficult.

The domestic price effect would be regional and temporary: the Midwest and Gulf Coast would see modest price relief; the East and West Coasts — more exposed to global prices — would likely see prices rise. Medium-term, refiners facing export restrictions would have an incentive to cut refinery runs, reducing output across all refined products and putting upward pressure on prices nationally.

Globally, the most exposed markets are Latin America (Ecuador, Mexico, Chile, Colombia, Peru), Europe, and large importers including the Philippines, Turkey, and Australia. Southeast and East Asia

are somewhat less exposed given access to alternative supply — but that buffer depends on Chinese export behavior.

The China and Global Supply Wild Card

China is a key variable. Chinese crude imports remain structurally lower than pre-war levels, while refined product exports have risen as Chinese refiners capture margin. There are reports that Chinese domestic refined product stocks are being drawn down. If China reins in exports to protect domestic supply — independent of any US action — that compounds global diesel tightness materially.

A secondary risk: if Europe responds to a US restriction by curtailing its own refined product exports, Atlantic Basin importers that might otherwise turn to European supply would face additional pressure.

Structural Context: Why Diesel, Not Gasoline

The diesel price spike reflects a global middle distillate refining shortage that has recurred in the second half of each year since 2022. This year's pressure is intensified by geopolitical disruptions in Russia/Ukraine and the Middle East. An additional factor: some major refiners optimized for jet fuel production during a significant jet fuel price spike earlier in the summer, drawing down distillate inventories further. US diesel storage is approximately 20 million barrels below seasonal average. Gasoline prices are elevated but track crude more closely; diesel is being driven by structural supply factors.

Key Watch Items

1.

BIS licensing action: Whether Commerce issues an "IS notified letter" requiring export licenses — and whether licenses are then denied or effectively rubber-stamped.

2.

Chris Wright's voluntary curb effort: Any sign of refiner coordination or rejection will sharpen the probability of formal action.

3.

European strategic reserve release: Movement here is the cleanest off-ramp; watch for signals from EU capitals, including any follow-through on Macron's G7 coordination comments.

4.

Chinese refined product exports: A Chinese pullback — for domestic reasons — would compound global diesel tightness independent of US policy.

5.

US bond yields: If diesel-driven inflation pressure bleeds into the 10-year approaching ~4.7%, watch for a Bessent intervention and potential policy recalibration.

6.

Iran diplomatic track: Iran has submitted a written proposal and reiterated it at UNGA this week, but its negotiating position — including US acknowledgment of joint Iran-Oman control of the Strait of Hormuz and a return to the June MOU terms — has not changed. A breakthrough remains unlikely absent a shift in position from either side.

What Clients Are Asking

Bessent's room to push back: Clients asked whether equity and bond market stress gives Bessent more leverage to oppose the ban. Speakers agreed it does — particularly if pressure reaches bond markets — but noted Bessent's toolkit is constrained; measures that would meaningfully move yields require political cooperation that is not currently available.

Iran diplomatic breakthrough as off-ramp: Clients asked whether UNGA talks could produce a deal that alleviates the need for a restriction. Iran is engaged and submitted a written proposal, but its demands — Strait of Hormuz acknowledgment, return to the June MOU, and de-escalation on all fronts including Lebanon and Yemen — remain unchanged. The US appears to be holding its position at least through the midterms; speakers did not change their odds of a continued standoff.

SPR drawdown as alternative: Clients asked about tapping the Strategic Petroleum Reserve (SPR). Speakers noted the SPR has functionally more than 30 million barrels available above hard constraints (the first binding limit being physical lift capacity from the caverns, not the commonly cited 30 million barrel figure). An SPR draw is viewed as the next most plausible policy response if export restrictions are not pursued, but it is not a near-term substitute.

Mexico exemption and country-specific carve-outs: Clients asked whether Mexico — the largest US diesel export destination — might receive an explicit exemption, including in the context of ongoing USMCA negotiations. Speakers do not expect explicit country exemptions; the more likely outcome is selective license approvals, with Mexico continuing to receive the majority of US diesel exports in practice.

Heating oil and run cuts: A client noted the December 2026 heating oil/gas oil spread has already compressed sharply on export ban chatter and asked whether markets are pricing in immediate run cuts that would invert the traditional US premium through the winter. Speakers said the direction of travel is correct but the market is getting ahead of the timing — run cuts under the expected restriction would likely materialize over several weeks, not immediately. Heating oil in the US Northeast is already under separate pressure from maintenance at the Saint John refinery in Canada.

Poll Results

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